Good Experiment: After the euro was launched, the eurozone witnessed not only a decline in long-term interest rates (especially from 2002 to 2006), but an increasing degree of convergence in the interest rates of member countries. A common currency, similar interest rates, and relatively strong growth provided a basis for a rise in public and private borrowing with cross- border holdings of sovereign and private debt by banks. Those were the good times for the eurozone

Crisis Triggered: In the aftermath of the global financial crisis in 2008, sovereign debt levels started to mount. The revelation that the fiscal deficit in Greece was much higher than stated earlier set off serious concerns in early 2010 about the sustainability of the debt. The downgrade of ratings led to a spiral of rising bond yields and further downgrade of government debt of other peripheral eurozone economies as well, that had high public debt or a build-up of bank lending or both.

Spread: Concerns intensified in early 2010 as cross-border holdings of sovereign debt and exposure of banks came to light. The financial markets quickly transmitted the shocks which not only led to a sharp rise in credit default swap (CDS) spreads but later impacted capital flows elsewhere.

The underlying weaknesses of the zone have made it difficult to resolve the crisis:

i. The eurozone lacks a single fiscal authority capable of strict enforcement;
ii. Economies with different levels of competitiveness (and fiscal positions) have a single currency;
iii. These economies cannot adjust through a depreciation of the currency;
iv. There is no lender of last resort, i.e. a full-fledged central bank (as is RBI in India and other economies).

Remedy: European finance ministers, in May 2010, agreed on a rescue package worth Euro 750 billion to ensure financial stability by creating the *European Financial Stability Facility (EFSF).* In October 2011, the eurozone leaders agreed to a package of measures that included an agreement whereby banks would accept a 50 per cent write-off of Greek debt owed to private creditors an increase in the EFSF to about Euro1